Group Coursework Submission Form

Specialist Masters Programme

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Introduction

The geopolitical disruption caused by Russia's invasion of Ukraine in February 2022 has significantly disrupted international relations, leading to economic sanctions and heightened geopolitical risks. This report evaluates strategic responses for Carlsberg Breweries A/S to protect its financial returns and reputation amid these risks. Additionally, it explores the necessity of re-evaluating Carlsberg's global strategy with a focus on sustainability, ethics, and long-term growth.

Overview of Carlsberg Breweries

Carlsberg Breweries A/S, founded in 1847, is a leading global player in the brewing industry. The company operates numerous well-known brands, including Carlsberg, Tuborg, Baltika, and Kronenbourg. Through its subsidiary Baltika Breweries, Carlsberg holds a significant market position in Russia, Ukraine, and Belarus, employing approximately 8,400 people in Russia, representing about 20% of its global workforce(HBR, 2022). Regional operations contribute significantly to its overall business, with about 10% of global sales tied to the Russian market. (figure 1).

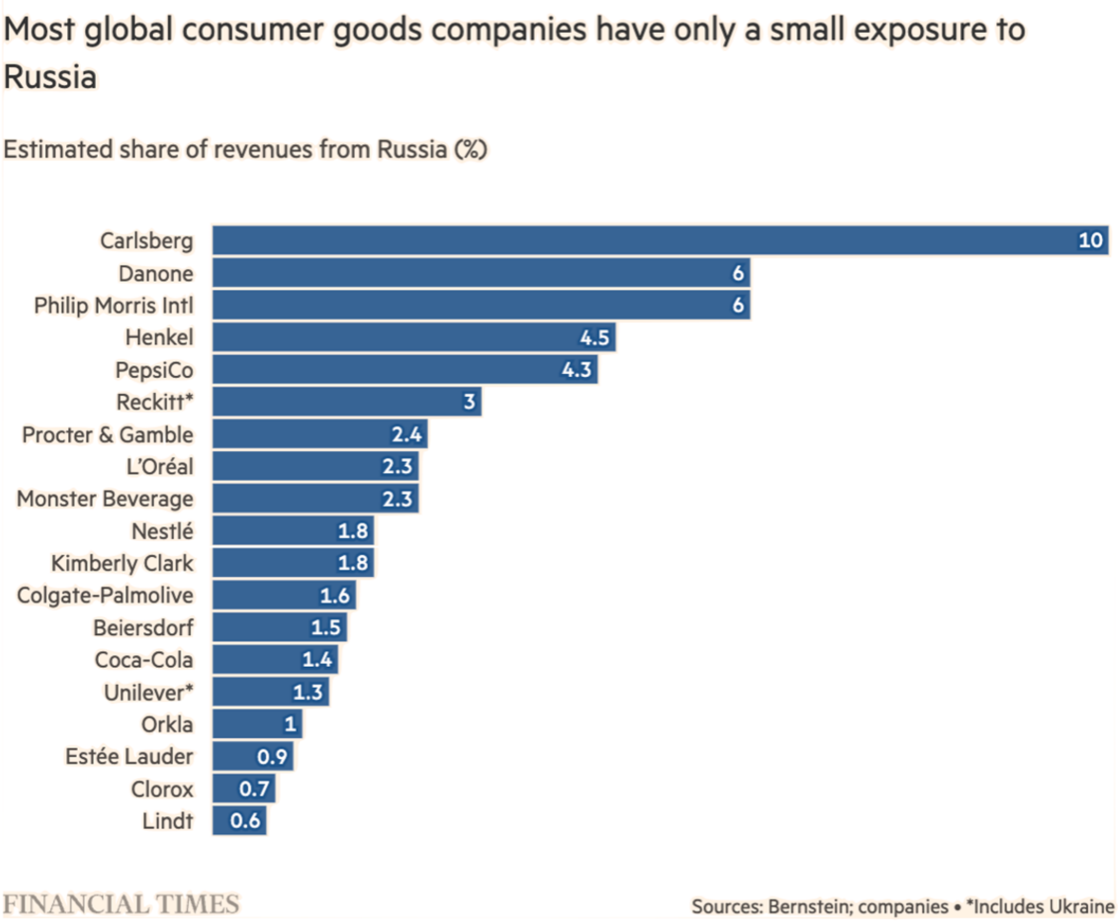

Figure 1. Most global consumer goods companies estimated share of revenues from Russia (Financial Times, 2022)

Assessment of the Situation

On February 24, 2022, Russia's invasion of Ukraine precipitated widespread geopolitical tensions and economic disruptions. Western countries responded with severe sanctions aimed at isolating Russia both economically and politically. These sanctions significantly impacted the Russian economy and international businesses, leading to a volatile economic environment characterized by fluctuating currency exchange rates (Figure 2). The conflict has also resulted in a humanitarian crisis, displacing millions and causing significant loss of life, which further complicates the business environment in Russia.

Figure 2. Danish Kroner (DKK) to Russian Rouble (RUB) Exchange Rate History Chart (Denmark's National Bank, 2022)

Impact on the Brewing Industry

The brewing industry faces increased operational costs, supply chain disruptions, and difficulties in repatriating profits due to geopolitical fallout from the invasion. The war has made it harder to secure raw materials, driving prices up and squeezing profit margins. For Carlsberg, the immediate effects included the shutdown of its breweries in Ukraine due to gas supply cuts and potential risks to its assets in Russia. The uncertainty surrounding the conflict has also affected consumer confidence and spending, particularly on non-essential goods like alcohol. This has led to a drop in Carlsberg's stock value(Figure 3).

Figure 3 Carlsberg's stock price plummeted by 25% in early 2022 due to the Russian invasion of Ukraine.

Risks Involved for Carlsberg

As Carlsberg navigates its global operations amidst the complexities of the current geopolitical landscape, it is essential to recognize these risks that could impact its performance and reputation:

RISK ASSESSMENT

Category	Risk Factors
Economic and Political Risks	**Sanctions and Instability:** Disrupt funds, sourcing, and transactions; risk of asset confiscation. **Regulatory Changes and Nationalization:** Rapid changes, increased taxes, risk of asset expropriation.
Operational Risks	**Supply Chain Disruptions:** Political unrest and sanctions cause shortages and delays; local supplier risks.
Market Risks	**Currency Fluctuations:** Affect profitability and financial planning. **Consumer Preferences:** Economic shifts impact demand for cheaper alternatives. **Intense Competition:** Local and international brands erode market share.
Reputational Risks	**Perception and CSR Concerns:** Harm reputation, risk boycotts, and decline in brand loyalty.
Legal and Compliance Risks	**Legal Disputes:** Tensions lead to costly legal challenges. **Sanctions Compliance:** Requires rigorous adherence to avoid fines and legal repercussions.

Technological Risks	**Cybersecurity Threats:** Increased risk of cyberattacks and data breaches. **Technological Disruptions:** Supply chain technology reliance means disruptions can severely impact operations.
Environmental and Sustainability Risks	**Climate Change Impact:** Affects raw material availability and quality, increasing costs. **Sustainability Compliance:** Geopolitical challenges hinder meeting goals, impacting performance and reputation.
Social and Workforce Risks	**Employee Safety:** Ensuring safety in conflict zones is challenging. **Labor Market Instability:** Tensions affect labor availability and costs.

Addressing these diverse and interconnected risks is essential for Carlsberg to sustain its operations and reputation in a complex global environment. By proactively managing these risks, Carlsberg can navigate the challenges posed by geopolitical tensions and continue to thrive as a leading global brewery.

I. Strategic Response to the Russian Invasion of Ukraine

To address the Russian invasion of Ukraine, Carlsberg must adopt a strategy that protects its financial interests and upholds its international reputation. Immediate actions include initiatives in CSR, supply chain diversification, and local brand emphasis. These steps will help Carlsberg navigate the geopolitical challenges while maintaining ethical business practices.

1. Corporate Social Responsibility (CSR)

CSR initiatives serve as critical moves influenced by political decisions, socio-economic alliances, and trade agreements (Agudelo et al., 2019). By fostering positive local relationships and adhering to ethical standards, Carlsberg can mitigate risks in politically unstable regions.

Ethical Strategic Approach:

- Conduct third-party audits to ensure compliance with ethical standards, making the audit results publicly available to demonstrate transparency and prove no direct relationship with the Russian military.

Community Engagement:

- **Humanitarian Support:** Launch the "Carlsberg Cares Campaign" in partnership with the Red Cross to provide emergency medical supplies and food packages to displaced families in Ukraine. Establish an internal relief fund with employee contributions matched by Carlsberg to support affected workers.
- **Collaboration with NGOs:** Partner with international and local NGOs to deliver humanitarian aid. Organize fundraising events and run informational campaigns promoting peace and understanding.

Environmental Sustainability:

- Enhance our reputation by supporting sustainable agriculture among local suppliers, benefiting local populations, and ensuring long-term environmental sustainability.
- Implement measures to reduce operational risks while aligning with global sustainability goals.

Employee Supportive Measures:

- Conduct regular risk assessments and develop crisis management plans, including evacuation routes and emergency contact protocols.
- Protect employees' salaries during operational disruptions.
- Provide counselling services to support employees' mental health.
- Maintain open communication channels to keep employees informed and engaged.

Transparency & Shareholder Engagement:

- Provide consistent updates on conflict-related activities through public statements, social media, and direct communication.
- Include detailed sections on the conflict in our annual CSR reports, highlighting our ethical stance and support for impacted communities.

2. Diversifying Supply Chains

The conflict and sanctions on Russia threaten the availability of raw materials and the distribution of finished products, making supply chain diversification essential for maintaining continuous production and market supply.

Carlsberg can mitigate risks, maintain steady production, ensure uninterrupted market supply, and protect financial returns by initiating comprehensive risk assessments of current suppliers and logistics. Strategies are given from three perspectives below:

- **Alternative Suppliers:** Identify suppliers for essential ingredients from regions unaffected by geopolitical tensions, focusing on Western Europe and the Americas, and establish relationships with multiple suppliers for raw materials to ensure continuity.
- **Diversified Logistics:** Explore alternative shipping routes that bypass conflict zones and utilize various transportation modes (truck, rail, sea) to increase flexibility.
- **Regional Production Expansion:** Boost production capacity in breweries located in stable regions outside Russia and Ukraine, particularly in Kazakhstan and Belarus, and invest in expanding local production capacities in other Eastern European countries like Poland and Hungary.

By implementing these strategic adjustments, Carlsberg can safeguard against current geopolitical risks, enhance overall supply chain resilience, and ultimately protect financial returns. This proactive approach ensures continued growth and stability, reinforcing our reputation as a resilient and responsible global brewer.

3. Focusing on Local Brands

Focusing on local brands like Baltika, Zatecky Gus, and Arsenalnoe in Russia, and Lvivske in Ukraine offers strategic advantages amid geopolitical tensions. These brands resonate with consumers, fostering loyalty due to their cultural relevance. Example: Baltika, our flagship brand in Russia, consistently leads the market, reflecting its strong local connection.

Developing products that cater to local tastes and preferences enhances Carlsberg's market penetration and competitiveness. Example: Baltika 0, a popular non-alcoholic beer in Russia, and Lvivske Robert Doms, a specialty beer in Ukraine, demonstrating our commitment to meeting local demands. This strategy helps Carlsberg blend into the local business environment, reducing the perception of being a foreign entity and mitigating potential backlash during heightened nationalistic sentiments.

This strategy secures Carlsberg's market position and lays a foundation for sustainable growth. Prioritizing local engagement and ethical operations demonstrates Carlsberg's commitment to responsible business practices, maintaining goodwill in Denmark and Europe, and reinforcing our reputation as a globally responsible company.

II. Re-Evaluating Global Strategy

In light of the ongoing geopolitical tensions and the prolonged conflict between Russia and Ukraine, it is crucial for Carlsberg to re-evaluate its global strategy. This involves exploring strategic partnerships, mergers and acquisitions, and exit strategies. By doing so, Carlsberg can ensure long-term resilience and sustainability, aligning its operations with the new geopolitical landscape. These strategic shifts will help mitigate risks and secure Carlsberg's market position globally.

1. Strategic Partnerships

Forming strategic partnerships with local firms in Russia offers a viable approach to spreading risk while maintaining market presence. These partnerships involve shared investments in production facilities, combined distribution logistics, and co-branding initiatives, allowing us to retain a stake in the Russian market with reduced direct exposure. Several options are given below:

- **Diversified Russian Corporations:** Partner with companies like X5 Retail Group and Sistema JSFC to leverage their broad business interests for logistical, distribution, or marketing synergies.
- **Agricultural Enterprises:** Partner with local agricultural producers like Rusagro to secure supply chains for raw materials.

- **Technology and Innovation Firms:** Collaborate with tech companies like Yandex and Skolkovo Innovation Center to improve production efficiency and consumer engagement.
- **Non-Alcoholic and Health-Focused Brands:** Partner with companies like Chistaya Liniya to diversify into non-alcoholic and wellness-oriented beverages, tapping into evolving health trends.

These partnerships will help Carlsberg navigate the complexities of the Russian market more effectively, leveraging local expertise while mitigating direct risks. Aligning with prominent local players ensures Carlsberg remains resilient, adaptable, and competitive.

2. Merger and Acquisition Strategy

As Carlsberg contemplates its long-term strategy in Russia and other potentially volatile regions, an M&A approach offers several benefits, including increased market penetration, diversification of risk, and enhanced brand presence.

Acquiring Local Brands: Carlsberg can acquire local microbreweries like Salden's, Vasileostrovskaya, and client brewer Volkovskaya. These top Russian breweries, known for their unique recipes and strong brand loyalty, offer significant market opportunities. Other options include:

- **Ochakovo:** A major player in the Russian market with a diverse portfolio and strong distribution network.
- **Siberian Crown:** Located in Siberia, offering regional penetration and logistical advantages.

Carlsberg can deepen integration by acquiring local brands, leveraging their market knowledge and distribution networks to enhance resilience and capitalize on consumer loyalty amid geopolitical risks.

3. Exit Strategy and Reallocation

Our primary objective is to safeguard Carlsberg's future by minimizing risks while adhering to our corporate values and financial goals. Strategically exiting our Russian operations will reduce exposure to escalating risks and strengthen our position in more stable markets.

Identifying Potential Buyers

Exploring potential buyers who can operate effectively within the Russian context, including local conglomerates and foreign investors from countries not participating in sanctions against Russia. These buyers might be better positioned to leverage Carlsberg's existing operational strengths.

Market and Risk Analysis

Our team will conduct a detailed assessment covering market dynamics, consumer behaviour, and the competitive landscape to establish a fair valuation of our Russian operations. We have observed a decline in market share from 39% to 27% over the past decade due to increased competition and market saturation. This analysis will help set a fair market valuation and understand evolving consumer preferences. Additionally, we will assess political, legal, and economic risks associated with continuing operations in Russia, including potential further sanctions and currency devaluation. Currently, our assets in Russia are valued at DKK 19 billion, approximately 19.1% of our total non-current assets.

Due Diligence and Negotiation

Comprehensive due diligence will identify any financial, legal, or environmental liabilities. Our negotiation strategy will ensure we secure terms that protect Carlsberg's interests, including securing a fair price and ensuring an orderly transition of the business. For further insights and strategic considerations, please refer to the lessons learned from our competitors in the appendix.

Strategic Evaluation for Relocating Carlsberg's Operations

As we exit the Russian market, we will further leverage our existing manufacturing units in Kazakhstan and Belarus to mitigate risks and maintain our market presence in the region.

Kazakhstan
Kazakhstan shares strong economic ties with Russia through the Eurasian Economic Union (EAEU), facilitating smoother trade relationships. The country offers significant advantages in terms of energy resources and raw material availability.

Market Position: Carlsberg Kazakhstan is the market leader, holding first place in the Kazakh beer market in volume in the Off-trade channel with a 45.3% market share in 2021. The brewery has a production capacity of 2.3 million hL per year and employs over 450 people. Carlsberg Kazakhstan's portfolio includes more than 30 beer brands, such as Holsten, Tuborg, Baltika, etc. all holding strong leading positions in their segments.

Energy Resources: Kazakhstan is rich in energy resources, including oil, natural gas, and coal, which are essential for industrial operations. The country is one of the top global producers of uranium, providing a stable and reliable energy supply for manufacturing operations.

Raw Materials: Kazakhstan has substantial reserves of aluminium, critical for beer can production. The country's robust mining industry ensures a steady supply of raw materials.

Trade Agreements: Leveraging existing trade agreements within the EAEU, Kazakhstan offers reduced tariffs and simplified customs procedures for importing raw materials and exporting finished products.

Belarus

Belarus maintains a stable political and economic relationship with Russia and, as a member of the EAEU, offers logistical advantages in terms of export norms and tariffs.

Market Position: Carlsberg Belarus is the market leader with a brewing capacity of 1.2 million hL and employs 860 people. The brewery's strong market position provides a solid foundation for further expansion and operational efficiency.

Energy Resources: Belarus has a well-developed energy sector and is expanding its renewable energy capabilities.

Raw Materials: While Belarus does not have significant aluminium reserves, it has a strong industrial base and established supply chains.

Trade Agreements: Being part of the EAEU, Belarus benefits from reduced trade barriers with Russia, allowing for smoother import and export processes.

Implementation:

- Enhance strategic partnerships with local industrial and energy firms.
- Utilize their well-established logistics infrastructure for efficient distribution.
- Collaborate with local authorities to navigate regulatory requirements and leverage investment incentives.

By leveraging our existing manufacturing units in Kazakhstan and Belarus, Carlsberg can ensure business continuity, minimize geopolitical risks, and maintain its market presence in the region. This comprehensive approach aligns with our business objectives and the broader regulatory and economic landscapes, positioning Carlsberg for sustained growth and stability in the long term.

Conclusion

The geopolitical instability from Russia's invasion of Ukraine prompts Carlsberg to strategically reassess. By focusing on CSR initiatives, diversifying supply chains and focusing on local brands Carlsberg aims to mitigate immediate risks. Long-term resilience will be bolstered through strategic partnerships, and M&A while leveraging manufacturing units in Kazakhstan and Belarus to support growth. This comprehensive strategy will protect operations and financial returns, enhance market position, and promote sustainable growth amidst geopolitical challenges.

Appendix:

Lessons to learn from Competitors:

- **AB InBev and Anadolu Efes Merger:** In 2017, faced with a declining market, AB InBev and Anadolu Efes merged their operations in Russia, stabilizing their market share at 31% and becoming the market leader. This merger illustrates the value of strategic alliances in maintaining market dominance and operational efficiency in a shrinking market.
- **Heineken's Exit:** Heineken's recent exit from Russia highlights the balance between financial impact and ethical considerations. They chose to prioritize corporate responsibility over profit by exiting at a significant loss. This example underscores the importance of aligning our strategy with Carlsberg's values and the expectations of our global stakeholders.

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